

Understanding ETFs and Their Benefits Over Mutual Funds

Executive Summary

This document explains what Exchange-Traded Funds (ETFs) are, how they work, and why many investors prefer them over traditional mutual funds. Key themes include liquidity, cost, tax efficiency, transparency, and recent industry growth trends. The report draws on industry data and reputable sources to illustrate these points.

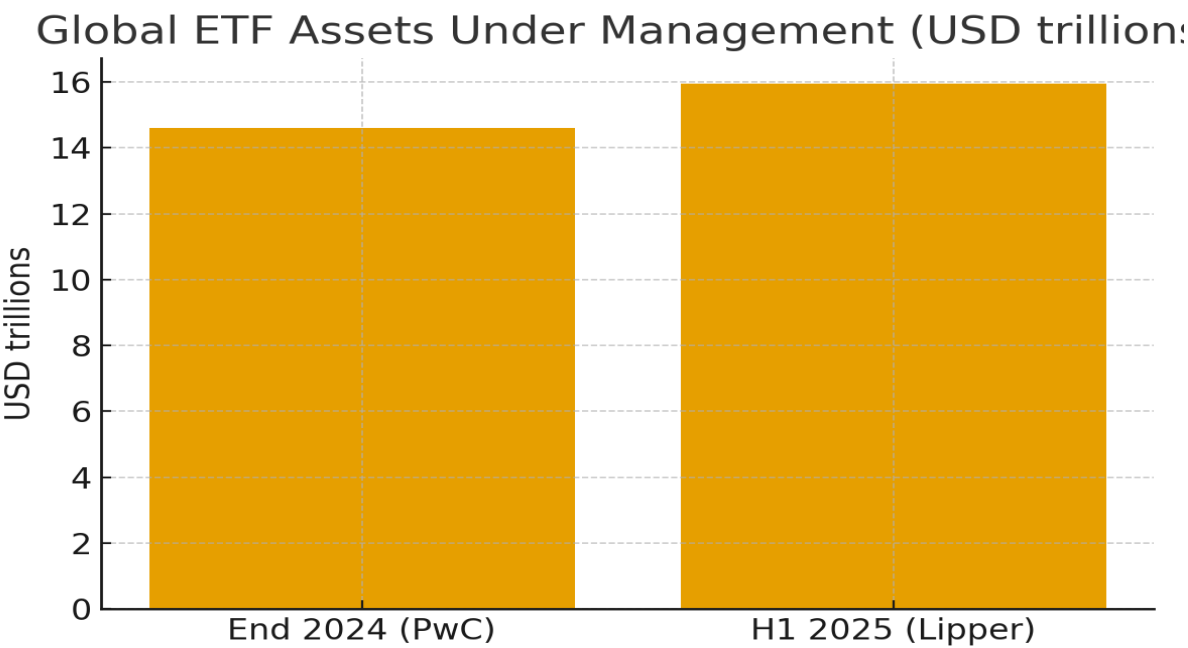


Figure 1: Global ETF Assets Under Management (AUM). Sources: PwC (end-2024) and LSEG Lipper (H1 2025).

What is an ETF?

An Exchange-Traded Fund (ETF) is an investment fund traded on stock exchanges that holds a basket of assets such as equities, bonds, commodities, or a mix. ETFs combine features of mutual funds and stocks — providing diversified exposure but trading intraday on exchanges.

How ETFs Work (Creation and Redemption)

ETFs use an 'in-kind' creation/redemption mechanism through authorized participants (APs). APs can create ETF shares by delivering a basket of underlying securities to the ETF issuer, or redeem ETF shares by receiving the underlying securities. This mechanism helps keep the ETF's market price close to its net asset value (NAV) and contributes to tax efficiency because it reduces the need to sell securities within the fund (which would realize capital gains).

Intraday Trading and Liquidity

ETFs trade on exchanges throughout the trading day, enabling investors to buy and sell at market prices during market hours. This intraday liquidity contrasts with most mutual funds, which are priced once per day after market close.

Costs and Fees

ETFs generally offer lower expense ratios compared to actively managed mutual funds, and often lower or competitive fees versus index mutual funds. ETFs also typically avoid 12b-1 distribution fees that some mutual funds charge.

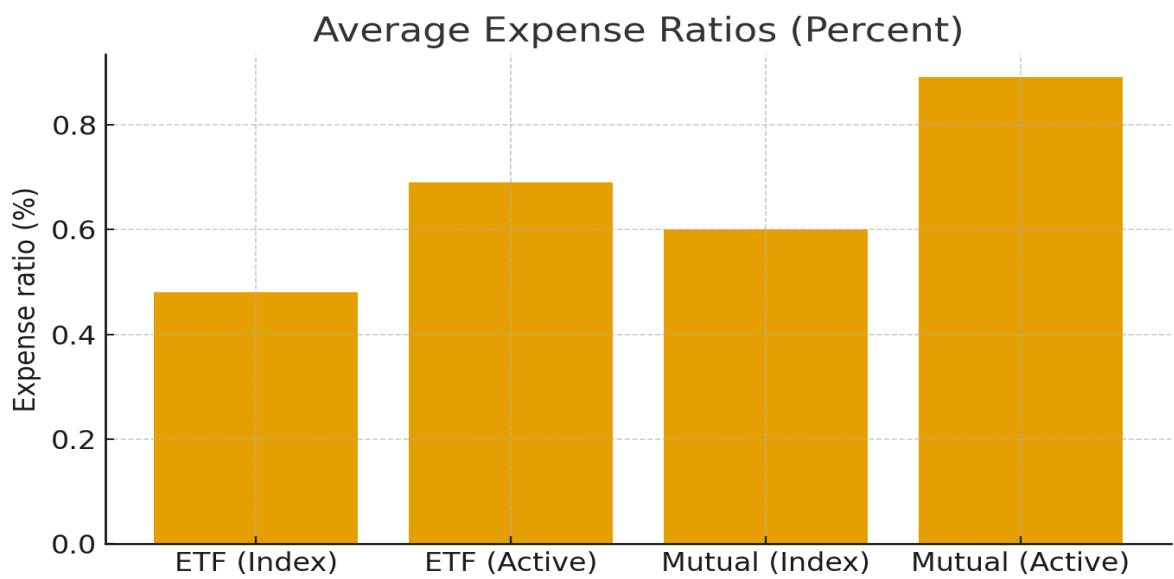


Table 1: Typical average expense ratios (percentage)

Fund Type	Index (avg)	Active (avg)
ETF	0.48%	0.69%
Mutual Fund	0.60%	0.89%

Tax Efficiency and Investor Savings

One of the major advantages of ETFs in taxable accounts is their tax-efficient structure. The in-kind creation/redemption process reduces the need for the fund manager to sell underlying securities — lowering realized capital gains distributions to shareholders. Industry studies estimate meaningful tax savings for ETF investors compared with mutual fund investors.

Study / Source	Finding
Bank of America (reported in FT)	Estimated US investors saved ~\$250 billion since 1993 through E
Industry reports	Lower tax drag and structural advantages reduce taxable events

Types of ETFs and Use Cases

ETFs come in many varieties including broad-market index ETFs, sector ETFs, bond ETFs, commodity ETFs, thematic ETFs, and actively managed ETFs. Use cases include: core long-term holdings, tactical tilts, sector exposure, fixed-income allocation, and access to less liquid asset classes through pooled structures.

Risks and Considerations

ETFs are not risk-free. Consider tracking error, liquidity of the underlying assets (especially for niche or leveraged ETFs), counterparty risks for synthetic ETFs, fee structure, and the potential for bid/ask spreads to increase trading costs.

How to Choose Between ETFs and Mutual Funds

Decide based on: investment horizon, tax situation (taxable vs tax-advantaged accounts), cost sensitivity, need for intraday trading, and desired exposure. For tax-efficient, low-cost, and flexible trading, ETFs often have an edge. For dollar-cost-averaging via small regular contributions without trading fees, traditional mutual funds may still be convenient.

Conclusion

ETFs have grown rapidly due to low costs, tax advantages, transparency, and trading flexibility. They are an essential tool for modern investors, but proper due diligence is still necessary when selecting specific ETFs or strategies.

References (selected): PwC ETF Survey 2024/2025; LSEG Lipper Global ETF Industry Review H1 2025; Fidelity Learning Center; Morningstar/Fidelity expense data; Financial Times reporting on ETF investor savings.